

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



ASIA ASSET
FINANCE PLC
The unconventional finance company

For the year ended 31st March 2018

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	For the quarter ended			For the year ended		
	31.03.2018	31.03.2017	Change	31.03.2018	31.03.2017	Change
	LKR	LKR		LKR	LKR	
	Unaudited*	Reclassified Unaudited*	%	Unaudited*	Reclassified Unaudited*	%
Interest Income	629,827,126	559,233,632	12.6%	2,443,389,400	2,020,556,957	20.9%
Interest Expenses	(320,712,307)	(249,814,607)	28.4%	(1,233,214,297)	(919,297,655)	34.1%
Net Interest Income	309,114,818	309,419,025	-0.1%	1,210,175,103	1,101,259,302	9.9%
Net Trading Gain/(Loss) on Equity Securities	(3,041)	(21,741)	-86.0%	(31,406)	2,326,220	-101.4%
Other Operating Income	53,252,481	26,007,067	104.8%	129,007,575	107,724,399	19.8%
Less: Operating Expenses						
Personnel Costs	(68,814,063)	(61,946,983)	11.1%	(264,465,472)	(250,113,858)	5.7%
Provision for Staff Retirement Benefits	(1,254,935)	(1,306,571)	-4.0%	(5,754,935)	(4,906,571)	17.3%
General and Administration Expenses	(122,346,772)	(94,959,527)	28.8%	(449,633,183)	(355,223,574)	26.6%
Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances	(90,997,448)	(62,348,081)	46.0%	(299,997,448)	(227,348,081)	32.0%
Operating Profit before Value Added Tax on Financial Services	78,951,040	114,843,190	-31.3%	319,300,235	373,717,838	-14.6%
Value Added Tax on Financial Services	(13,500,000)	(22,741,421)	-40.6%	(63,761,107)	(57,841,421)	10.2%
Profit Before Taxation	65,451,040	92,101,769	-28.9%	255,539,128	315,876,417	-19.1%
Income Tax (Expenses) / Reversal	(10,405,706)	(6,327,608)	64.4%	(57,520,417)	(37,827,608)	52.1%
Profit for the Period	55,045,333	85,774,161	-35.8%	198,018,711	278,048,809	-28.8%
Actuarial gain/(loss) on retirement benefit liability	3,554,897	(2,100,296)	269.3%	3,554,897	(2,100,296)	269.3%
Income Tax on Components of Other Comprehensive Income	(995,371)	(588,083)	69.3%	(995,371)	(588,083)	69.3%
Other Comprehensive Income for the Period Net of Tax	2,559,526	(2,688,379)	195.2%	2,559,526	(2,688,379)	195.2%
Total Comprehensive Income for the Period	57,604,859	83,085,782	-30.7%	200,578,237	275,360,430	-27.2%
Earnings Per Share - Basic	0.27	0.40	-30.7%	0.24	0.33	-27.2%

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	31.03.2018 LKR Unaudited*	31.03.2017 LKR Audited*	Change %
ASSETS			
Cash and Cash Equivalents	660,159,119	601,891,827	9.7%
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	622,975,267	433,333,648	43.8%
Other Financial Assets	207,244,747	-	100.0%
Financial Assets - Held for Trading	213,734	50,204,691	-99.6%
Loans and Advances	7,281,282,323	6,838,366,400	6.5%
Lease Rentals Receivable and Hire Purchase	2,280,505,425	1,424,679,822	60.1%
Vehicle Stock	262,089		
Other Assets	15,587,389	15,626,098	-0.2%
Advances, Deposits and Prepayments	67,948,443	64,760,286	4.9%
Financial Assets - Available for Sale	506,659	506,659	-
Property, Plant and Equipment	150,037,784	161,931,102	-7.3%
Investment Property	352,385,530	306,253,164	15.1%
Deferred Tax Assets	112,814,716	118,202,709	-
Intangible Assets	8,807,431	11,179,033	-21.2%
Total Assets	11,760,730,655	10,026,935,439	17.3%
LIABILITIES			
Due to Banks	454,920,306	36,031,902	1162.5%
Other Liabilities	36,650,813	46,791,280	-21.7%
Current Tax Liabilities	13,242,949	30,749,073	-56.9%
Other Borrowed Funds	3,001,078,793	2,476,518,223	21.2%
Due to Customers	6,356,067,246	5,681,178,140	11.9%
Retirement Benefit Liability	20,044,993	18,774,955	6.8%
Total Liabilities	9,882,005,101	8,290,043,573	19.2%
SHAREHOLDERS' FUNDS			
Stated Capital	1,388,935,273	1,388,935,273	0.0%
Retained Earnings	420,413,701	288,608,924	45.7%
Statutory Reserve Fund and Other Reserves	69,376,581	59,347,669	16.9%
Total Equity	1,878,725,555	1,736,891,866	8.2%
Total Equity and Liabilities	11,760,730,655	10,026,935,439	17.3%
Net Assets Per Share	2.24	2.07	8.2%

* Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 31st march 2018 and its profit for year ended 31st march 2018.

Sgd

Geethika Elwalage

Assistant General Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.

Sgd

R.J.A. Gunawardena

Director/CEO

Sgd

C. Ramachandra

Chairman

22nd May 2018

Colombo

* The above figures are provisional and subject to audit.

	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Balance as at 1st April, 2016(Audited)	<u>1,388,935,273</u>	<u>3,000,000</u>	<u>42,579,648</u>	<u>27,016,515</u>	<u>1,461,531,436</u>
Total comprehensive income for the year					
Profit for the year	-	-	-	278,048,809	278,048,809
Other comprehensive income (net of tax)				(2,688,379)	(2,688,379)
Transaction with equity holders recognized directly in equity					
Transfers to reserves	-	-	13,768,021	(13,768,021)	-
Balance as at 31st March, 2017	<u>1,388,935,273</u>	<u>3,000,000</u>	<u>56,347,669</u>	<u>288,608,924</u>	<u>1,736,891,866</u>
Balance as at 1st April, 2017 (Audited)	<u>1,388,935,273</u>	<u>3,000,000</u>	<u>56,347,669</u>	<u>288,608,924</u>	<u>1,736,891,866</u>
Total comprehensive income for the year					
Profit for the year	-	-	-	198,018,711	198,018,711
Other comprehensive income (net of tax)				2,559,526	2,559,526
Total comprehensive income for the year				<u>200,578,237</u>	<u>200,578,237</u>
Transaction with equity holders recognized directly in equity					
Transferred to/from reserves During the Period	-	-	10,028,912	(10,028,912)	-
Final dividend for 2016/17				(58,744,548)	(58,744,548)
Balance as at 31st March, 2018 (Unaudited*)	<u>1,388,935,273</u>	<u>3,000,000</u>	<u>66,376,581</u>	<u>420,413,701</u>	<u>1,878,725,555</u>

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

ASIA ASSET FINANCE PLC
STATEMENT OF CASH FLOW
FOR THE YEAR ENDED 31ST MARCH, 2018

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	Unaudited 2017/2018 Rs.	Audited 2016/2017 Rs.
Cash flows from operating activities		
Profit before income tax	255,539,128	315,876,415
Adjustments for		
Depreciation and amortization	45,161,381	33,953,124
Impairment of lease hire purchase, loans and advances	299,997,448	227,348,081
Early termination of loans, leases and hire purchase	(36,107,333)	(9,030,428)
Non-cash items included in profits before tax	(13,323,227)	-
Interest Income on Commercial Papers	(28,949,821)	-
Profit on sale of held for trading securities	40,449	(542,266)
Gain/loss on fair valuation of held for trading securities	(9,044)	(1,723,007)
Gains from sale of property, plant and equipment, investment property and real estate inventories	(5,035,502)	194,150
Gain from disposal of vehicle stock	-	-
Provision for retirement benefit liability	5,754,935	4,906,571
Interest expense on other borrowings	393,757,139	263,993,473
Cash generated from operations before working capital changes	916,825,553	834,976,113
(Increase)/decrease in lease rentals receivable and hire purchase	(936,179,412)	147,505,180
(Increase)/decrease in loans and advances	(673,111,281)	(2,269,746,499)
(Increase)/decrease in other receivables	38,709	(667,271)
(Increase)/decrease in deposits and prepayments	(3,450,246)	(4,581,536)
(Increase)/decrease in financial assets - loans and receivables	49,959,551	-
Increase in deposits from customers	674,889,106	884,878,241
Increase/(decrease) in other liabilities	(10,140,467)	(6,380,496)
Net cash from operating activities before income tax payments	18,831,513	(414,016,268)
Taxes paid	(57,310,691)	(45,254,677)
Gratuity paid	(930,000)	(587,500)
Net cash used in operating activities	(39,409,178)	(459,858,444)
Cash flows from / (used in) investing activities		
Acquisition of property, plant and equipment	(51,718,268)	(55,426,269)
Acquisition of intangible assets	(627,851)	(2,200,000)
Acquisition of investment property	(15,000,000)	(195,000)
Proceeds from sale of investment property	16,350,000	9,500,000
Proceeds from sale of real estate inventories	-	32,450,000
Investments in commercial papers	(505,857,691)	-
Proceeds from Commercial Papers	327,562,766	-
Purchases of held for trading securities	-	(150,000,000)
Proceeds from sales of held for trading securities	-	159,122,879
Proceeds from sales of property, plant and equipment	24,782,254	10,370,000
Net cash from investing activities	(204,508,790)	3,621,610
Cash flows from / (used in) financing activities		
Repayment of other borrowed funds	(2,497,136,427)	(1,239,515,236)
Proceeds from other borrowed funds	2,627,939,860	1,842,206,810
Dividends Paid	(57,864,958)	-
Net cash generated from financing activities	72,938,475	602,691,574
Net increase in cash and cash equivalents	(170,979,494)	146,454,740
Cash and cash equivalents at the beginning of the year	999,193,573	852,738,833
Cash and cash equivalents at the end of the year	828,214,079	999,193,573
At the beginning of the year		
Cash and cash equivalents	601,891,826	690,797,870
Investment in reverse repurchase agreements against treasury bills and bonds	433,333,648	328,866,266
Bank overdraft	(36,031,902)	(166,925,303)
	999,193,573	852,738,833
At the end of the year		
Cash and cash equivalents	660,159,119	601,891,826
Investment in reverse repurchase agreements against treasury bills and bonds	622,975,267	433,333,648
Bank overdraft	(454,920,306)	(36,031,902)
	828,214,079	999,193,573

Figures in brackets indicate deductions.

FINANCIAL REPORTING BY SEGMENT

	Finance lease		Hire purchase		Loans and advances		Investment		Other		Total	
	31.03.2018	31.03.2017	31.03.2018	31.03.2017	31.03.2018	31.03.2017	31.03.2018	31.03.2017	31.03.2018	31.03.2017	31.03.2018	31.03.2017
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest income	407,178,686	293,976,605	10,472,832	39,716,631	1,892,389,422	1,598,088,546	133,348,460	88,775,175	-	-	2,443,389,400	2,020,556,957
Other income	18,428,964	6,579,036	276,383	923,674	100,718,525	92,186,594	322,530	3,204,360	9,229,769	7,156,955	128,976,170	110,050,619
Total revenue	425,607,650	300,555,641	10,749,214	40,640,306	1,993,107,947	1,690,275,140	133,670,990	91,979,535	9,229,769	7,156,955	2,572,365,569	2,130,607,576
Segmental result	52,829,436	52,718,767	1,334,269	7,128,486	247,398,676	296,481,614	16,592,190	16,133,611	1,145,664	1,255,361	319,300,235	373,717,838
Value added tax on financial services											63,761,107	57,841,421
Profits from operations											255,539,128	315,876,417
Income tax charge for the year											(57,520,417)	(37,827,608)
Net profit for the year											198,018,711	278,048,809
Segment assets	2,221,648,050	1,263,638,484	58,857,376	161,041,338	7,281,282,323	6,838,366,400	830,433,748	483,538,339	-	-	10,392,221,497	8,746,584,561
Unallocated assets									1,368,509,158	1,280,350,878	1,368,509,158	1,280,350,878
Total assets	2,221,648,050	1,263,638,484	58,857,376	161,041,338	7,281,282,323	6,838,366,400	830,433,748	483,538,339	1,368,509,158	1,280,350,878	11,760,730,655	10,026,935,439
Segment liabilities	2,097,622,541	1,183,766,108	55,571,609	150,862,198	6,874,798,161	6,406,125,233	784,074,034	452,974,727	-	-	9,812,066,346	8,193,728,265
Unallocated liabilities									69,938,755	96,315,308	69,938,755	96,315,308
Total liabilities	2,097,622,541	1,183,766,108	55,571,609	150,862,198	6,874,798,161	6,406,125,233	784,074,034	452,974,727	69,938,755	96,315,308	9,882,005,101	8,290,043,573

In determining segment results, expenses have been allocated in proportionately basis on interest income and segment liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 31st March 2017.
03. The Interim financial statements of Asia Asset Finance PLC for the year ended 31st March, 2018 (including comparatives) were approved and authorized for issue on 22nd May, 2018 in accordance with a resolution of the board of directors on 22nd May, 2018.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Earning per share has been annualised for the quarter ended 31st March, 2018 in the statement of Comprehensive income.
06. Subsequent to Balance sheet date ,no circumstances has arise that would require adjustments to or disclosure in the Financial statements.

07. Stated capital is represented by number of shares in issue as follows.

	31.03.2018	31.03.2017
Issued and Fully Paid Ordinary Shares (Quoted)	839,207,833	839,207,833

08. Market Value of Shares

	31.03.2018 Rs.	31.03.2017 Rs.
Highest Traded Price	1.50	1.50
Lowest Traded Price	1.30	1.20
Closing Price	1.40	1.30

09. There has been no significant change to the contingent liabilities disclosed in the previous Audited Financial statements.

10. Major 20 share holders as at 31st March 2018

NAME	No of Shares	(%)
1 Muthoot Finance Limited	503,524,700	60.00
2 Seylan Bank PLC/Thirugnanasambandar Senthilverl	68,326,145	8.14
3 J.B. Cocoshell (Pvt) Ltd	42,429,508	5.06
4 Mr. S.D.R.Arudpragasam	24,606,384	2.93
5 Mrs. G.I. Vasunthara	19,044,044	2.27
6 People'S Leasing & Finance PLC/Mr.W.K.R.Jayakody	15,012,800	1.79
7 Mr. P.A.D.R.U. Pushpakumara	13,065,000	1.56
8 Mr.K.M.S.M.Razeek ,Mr.K.S.M.Rajubdeen & Mr.S.M.R.Mohamed	7,400,000	0.88
9 DFCC Bank PLC/P.S.R.Casie Chitty	5,500,000	0.66
10 Code-Gen International Pvt Ltd	4,241,188	0.51
11 Mr.C.W. Gunasekara	4,155,000	0.50
12 Ceylon Biscuits Limited	3,750,000	0.45
13 DFCC Bank PLC/Mr.K.S.D.Senaweera	3,400,000	0.41
14 Dr. T. Senthilverl	3,399,299	0.41
15 Mr. P.P. Subasinghe	2,781,608	0.33
16 Mr.C.R.Perera	2,589,987	0.31
17 Mr. R.H.M.S.K. Rajakaruna	2,333,309	0.28
18 Mr.S.Abishek	2,193,892	0.26
19 Mr.U.C.Bandaranayake & Mrs. L.Bandaranayake	2,000,000	0.24
20 Fast Gain Internationl Limited	1,590,000	0.19
	731,342,864	87.15
Othres	107,864,969	12.85
Total	839,207,833	100.000

No of Shareholders	% of Shareholdin
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11. Shares held by public as at 31st March 2018

2,499 39.83

12. Directors Share Holding

Name	No. of Shares 31.03.2018	%
Mr.Chandrakumar Ramachandra (Appointed as the Chairman of the Company w e f 18-03-2018)	800,000	0.095
Mr.Rajiv James Abeywickrema Gunawardena	-	-
Ms.Dayangani Priyanthi Pieris	600,000	0.071
Mr.George Alexander	-	-
Mr.Thusitha Priyantha Perera	-	-
Mr. Kuttikattu Rajappan Bijimon	-	-
Mr.Rajitha Ananda Bandara Basnayake	-	-
Mr.Jayasekara Pathirannahalage Danasiri Rupakumara Jayasekara (Appointed w e f 26-01-2018)	-	-
Mr.Kiran Gopala Krishna Pillai (Appointed w e f 26-01-2018)	-	-

13 Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB 139 PQ

Registered Office

No.76/1, Dharmapala Mawatha, Colombo 03.

Telephone

011 5 66 99 22 / 0115 899 300

Fax

011 2 57 74 77

E-mail

info@asiaassetfinance.lk

Website

<http://www.asiaassetfinance.lk/>

Board of Directors of the Company

Mr.Chandrakumar Ramachandra
Mr.Rajiv James Abeywickrema Gunawardena
Ms.Dayangani Priyanthi Pieris
Mr.Thusitha Priyantha Perera
Mr. George Alexander
Mr. Kuttikattu Rajappan Bijimon
Mr.Rajitha Ananda Bandara Basnayake
Mr.Jayasekara Pathirannahalage Danasiri Rupakumara Jayasekara
Mr.Kiran Gopala Krishna Pillai

Company Secretary

P R Secretarial Services (Pvt) Ltd
59 Gregory Road,
Colombo 07.

Lawyers of the Company

Shiranthi Gunawardena Associates
No.22/1, Elliot Place,
Colombo 08.

Company Auditors - External

BDO Partners
65/2, Sir Chiththapalam A Gardiner Mawatha,
Colombo 02.

Bankers of the Company :

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Vardhana Bank PLC
Hatton National Bank PLC
Pan Asia Banking Corporation PLC
People's Bank
Sampath Bank PLC
National Development Bank PLC
Seylan Bank PLC
Indian Bank

Audit Committee

Mr.Thusitha Priyantha Perera
Mr.Chandrakumar Ramachandra
Mr.Rajitha Ananda Bandara Basnayake
Mr.Kuttikattu Rajappan Bijimon
Mr.Jayasekara Pathirannahalage Danasiri Rupakumara Jayasekara

Integrated Risk Management Committee

Mr.Chandrakumar Ramachandra
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Thusitha Priyantha Perera
Mr.Roshan De Silva Gunasekara (COO)

Remuneration Committee

Mr.Chandrakumar Ramachandra
Mr.Thusitha Priyantha Perera
Mr.George Alexander
Mr.Rajitha Ananda Bandara Basnayake
Mr.Jayasekara Pathirannahalage Danasiri Rupakumara Jayasekara

Related Party Transactions Review Committee

Ms.Dayangani Priyanthi Pieris
Mr.Rajitha Ananda Bandara Basnayake
Mr. Kuttikattu Rajappan Bijimon
Mr.Jayasekara Pathirannahalage Danasiri Rupakumara Jayasekara

IT committee

Mr.Rajitha Ananda Bandara Basnayake
Mr.Chandrakumar Ramachandra
Ms.Dayangani Priyanthi Pieris
Mr.Jayasekara Pathirannahalage Danasiri Rupakumara Jayasekara
Mr.Rajiv James Abeywickrema Gunawardena